Question #1 of 46

Question ID: 1675860

Williams & Fudd is a major London-based brokerage and investment banking firm. Heritage Group, a money management firm, is the first-, second-, or third-largest holder of each of the securities listed on Williams & Fudd's "PrimeShare #10" equity security list.

Williams & Fudd faxed a preliminary copy of a research update bulletin on Yeshe Corp to Heritage at 7:00 am on Wednesday, July 23. The report, a change from a "hold" to a "strong buy", was released to the public at 11:00 am. Between 11:00 am and 11:20 am, Heritage executed a series of trades with which they bought 1.25% of Yeshe's publicly traded stock. This action is:

A) a violation of the Standard concerning fair dealing.

B) a violation of the Standard concerning priority of transactions, but it would conform if Heritage had waited at least 48 hours after the report was issued.

C) in accordance with the CFA Institute Code and Standards.

Question #2 of 46

Question ID: 1675838

Marc Feldman, CFA, is the manager of corporate investor relations for a high-tech start-up, Zippy.com, in Boise, Idaho. Feldman learns that Larry Smith, controller, is altering the accounting records. Knowing the data is incorrect, Feldman releases Smith's financial data to investors. This action constitutes a violation of:

A) the Standard concerning duty to employer.

B) his fundamental responsibilities under the Code and Standards.

C) Standard III(D) concerning performance presentation.

Question #3 of 46

Question ID: 1675841

Williams & Fudd is a major London-based brokerage and investment banking firm. Heritage Group, a money management firm, is the first-, second-, or third-largest holder of each of the securities listed on Williams & Fudd's "PrimeShare #10" equity security list.

On Tuesday morning, August 22, Williams & Fudd released a research report recommending the purchase of Skelmerdale Industries to the public and to its clients. On Wednesday afternoon, August 23, Heritage Group bought 1.5 million shares of Skelmerdale. This action is:

A) a violation of the Standard concerning disclosure of conflicts.

B) a violation of the Standard concerning fair dealing.

C) in accordance with the CFA Institute Code and Standards.

Question #4 of 46

Question ID: 1675834

All of the following would be effective components of a formal compliance system except:

A) as a fiduciary under ERISA, the firm will strictly follow pension plan instructions and restrictions, which may include concentrating portfolios in a few securities or industries.

B) the investor's objectives and constraints should be maintained and reviewed periodically to reflect any changes in the client's circumstances.

C) the firm prohibits analysts and portfolio managers from using material nonpublic information in making investment recommendations or taking investment action.

Question #5 of 46

Question ID: 1675858

All of the following would be effective components of a formal compliance system except:

A) the firm has a duty to vote all proxy statements that are in the best interests of plan participants and beneficiaries.

B) all managers must obtain client information to prepare an investment policy statement for each client.

C) investment managers may use soft dollars for the payment of research services, travel, meals, and lodging.

Sinziana Mircea, CFA, is a compliance officer for MAA, Inc. (MAA), an investment management firm based in Milan, Italy. She has been made aware of several ethical situations and needs to determine whether there has been compliance with or violations of the CFA Institute Code of Ethics and Standards of Professional Conduct.

Situation 1: In an excerpt from a recent MAA marketing brochure for its Italian Equity Fund (IEF), it states the following: "For the year ended December 31, 2019, our IEF earned returns of 22.4%, gross of fees. That makes it the best-performing fund in Italian equities for the year. Since its inception in 2012, our IEF has earned 10.2% annually."

Situation 2: One of MAA's portfolio managers, Daria Kisaleva, recently announced her resignation from MAA to begin working for a competitor firm. MAA's management has allowed Kisaleva to stay on at MAA for three more days to complete some administrative work. Immediately after her announcement, she made a strong request to her portfolio assistant, a subordinate, to also resign and join her at the competitor firm.

Situation 3: A complaint by a client, Matthew Bucynski, was made against one of MAA's investment advisors, Walter Kim. Bucynski is currently 66 years old, retired, and has no dependents. In the past, he had invested in higher-risk investments, such as resource and emerging markets stocks, with mixed results. Five years ago, he sought the investment advice of Kim; together, they developed an investment policy statement (IPS) for Bucynski. As a result, Bucynski invested in more conservative items, such as balanced mutual funds and investment-grade bonds, consistent with the IPS. The IPS has been updated on an annual basis, and no significant changes have occurred since it was first developed.

One year ago, Bucynski became dissatisfied with the low returns earned on his investments and began doing his own research on potential investments with higher risk and returns. The amount in his investment account at that time was about €1.5 million, and that represented his life savings—all of which would be required to provide him with sufficient funds to live comfortably for his remaining 20-year life expectancy. He found an emerging markets fund (EMF) and asked Kim for his opinion. Kim stated that although the EMF has earned a very high average annual return over the past 10 years, it has historically experienced high volatility of returns. Kim also stated that any investment in such a fund must be long term in nature. Bucynski lets Kim speak but ultimately tells Kim to transfer all the funds out from his current investments into the EMF. Kim reminds Bucynski of the severe risks of the EMF, but Bucynski is stubborn and threatens to take his investments away

if Kim does not comply. Fearing the loss of the account, Kim sells all of Bucynski's investments and transfers the entire proceeds of €1.5 million to the EMF as requested.

Over the past year, the EMF has performed poorly, and the value of Bucynski's investments one year later is down by a third—to €1 million. Bucynski is upset and confronts Kim about the huge loss. Kim responds that he warned Bucynski about the high volatility of returns and the long-term nature of the investment in the EMF. Bucynski responds by stating that he did not expect the investments to fall by such a significant amount and that Kim should have warned him of the magnitude of the potential loss. Bucynski promptly files a complaint about Kim to MAA's compliance department.

Question #6 - 9 of 46

Question ID: 1675867

Does the statement about the IEF's performance in the MAA marketing brochure violate the Code and Standards?

A) No.

B) Yes; there is no separation between fact and opinion.

C) Yes; the returns were stated gross of fees instead of net of fees.

Question #7 - 9 of 46

Question ID: 1675868

Did Kisaleva violate the Code and Standards by asking her assistant to resign and join her at the competitor firm?

A) No.

B) Yes; Kisaleva was trying to use her position of power to influence her subordinate.

C) Yes; Kisaleva owed a duty of loyalty to MAA.

Question #8 - 9 of 46

Question ID: 1675869

Did Kim violate the Code and Standards by transferring Bucynski's funds into the EMF?

A) No; Bucynski told him to do so.

B) No; he warned Bucynski about the high return volatility and long-term investment horizon.

C) Yes.

Question #9 - 9 of 46

Question ID: 1675870

Did Kim violate the Code and Standards with respect to updating Bucynski's IPS?

A) Yes.

B) No; it was updated each year.

C) No; there were no significant changes since it was first developed.

Question #10 of 46

Question ID: 1675833

Mark Vernley, CFA, is the owner of an engineering consulting firm called Energetics, Inc., which consults on asset and project valuations in energy-related industries. The firm currently employs 10 professional engineers. Vernley wants to develop and implement adequate compliance procedures for his firm to avoid potential conflicts of interest. Which of the following statements is *least likely* to represent an appropriate compliance procedure dealing with conflicts of interest? Employees at Energetics are required to:

A) certify annually that they have maintained familiarity with the compliance procedures and agree to abide by them.

B) deal fairly and objectively with all clients and prospects when providing consultation on asset and project valuations.

C) report, in writing, on a quarterly basis all securities transactions for their personal portfolios and those in which they have a beneficial interest.

Question #11 of 46

Question ID: 1675840

Futura Investments Co. decides to diversify its current portfolio with stocks from three companies in a new segment of the biotechnology industry. William Burgin, CFA, is an analyst at Futura and had previously bought shares of the same three companies for his own portfolio, well before his employer started researching them. Burgin has already disclosed the composition of his personal portfolio to Futura Investments to be in compliance with the Code and Standards. Which of the following actions should Burgin take?

A) Diversify his personal portfolio so, in this way, these stocks will no longer represent a substantial portion of the portfolio.

B) Hire a full discretionary power or blind trust manager for his portfolio.

C) Open an account that will be managed by someone else, but that will allow him to maintain his investment preferences.

Question #12 of 46

Question ID: 1675848

Marc Feldman, CFA, is manager of corporate investor relations for a high-tech start-up, Zippy.com, in Boise, Idaho. Feldman is well known in the high-tech community in Boise, and Dragon.com has asked if he will help them organize their investor relations function on a consulting basis. They offer him an all-expenses-paid, two-week vacation for two on Australia's Gold Coast in payment. Regarding this offer as it pertains to Standard IV(B): Additional Compensation Arrangements, as a CFA Institute member, Feldman is:

A) not allowed to accept such an offer because it effectively places him in competition with his employer.

B) allowed to accept the offer only with written approval from Zippy.

C) allowed to accept the offer with written approval from Zippy and from Dragon.

Question #13 of 46

Question ID: 1675850

Using as his universe all companies in the steel industry, Reynold Anderson analyzes the performance of stock prices for the industry. He succeeds in developing a regression model with excellent statistical control measures. The extrapolation from the model shows low risk variance of the securities in this industry. Without the inclusion of nonsteel stocks in the portfolio, Anderson concludes that, based on these results, every portfolio can use the steel industry securities to diversify and lower its risk. He persuades his clients to change their current portfolios. Anderson states that, as the model's results show, some particular industries, such as car manufacturers, have underpriced stocks, and investors should take advantage of it. Anderson has violated the Standards because he:

A) does not distinguish the opinion, based on his model, from the fact.

B) does not consider the suitability of the investment.

C) is not clear enough about the model results.

Question #14 of 46

Question ID: 1675822

Xenica Jones, CFA, is a portfolio manager and follows the office equipment industry for Hynes-Gold and Co. In her June 30 discussions with the management of Zprint, she learns that an internal audit has detected irregularities in the firm's Italian operations. This fact is disclosed on July 1 in both *The Wall Street Journal* and *The Financial Times.* On July 10, Zprint's management announces that an investigation of the matter would not be completed until an external audit of all European operations was complete. This stock dropped 6% on the news release on July 10. Jones places a series of sell transactions in Zprint stock on July 3. When she places the trades, she trades first for her clients and finishes with a trade selling short for her own account. These actions are:

A) in violation of the Standard concerning fiduciary duties because she is not allowed to sell short under the Standard.

B) in violation of the Standard concerning fair dealing.

C) not in violation of the Code and Standards.

Question #15 of 46

Question ID: 1675847

Pamela Gee is a portfolio manager. She is planning to establish her own money management firm. She has already informed her employer, Branford, Inc., about her plans. In her remaining time at Branford, she would be prohibited from:

A) informing her current clients about her resignation and let them know how to reach her, in case any problems arise in the future.

B) registering her new company with the appropriate regulatory agency.

C) soliciting Branford clients and Branford colleagues.

Question #16 of 46

Question ID: 1675837

Marc Feldman, CFA, is the manager of corporate investor relations for a high-tech start-up, Zippy.com, in Boise, Idaho. Feldman learns that Larry Smith, controller, is altering the accounting records. He decides that any ramifications from such activity is Smith's problem and does not report this fact. According to the CFA Institute Code and Standards, he should or is required to do all of the following except:

A) report the activity to the Financial Accounting Standards Board or other relevant regulatory body.

B) determine legality, consulting counsel if necessary.

C) urge Smith to cease altering the accounting records.

Question #17 of 46

Question ID: 1675842

Milton Baker, CFA, prepares a research report on the dynamics of a stock price. In his study, he uses a considerable number of information sources—both outside sources and his company's own research papers—prepared for both internal and public use. The report will first be distributed at the monthly department meeting and then later will be published on the company's intranet. He thinks that he may have neglected to mention some of his sources in his reference list, but he decides that he needs to be concerned about full disclosure of his sources only for the public version of the report, so he will wait to revise his work until after the monthly meeting but before it is published on the intranet. Which Standards does Baker not comply with?

A) Standard I(C): Misrepresentation, I(B): Independence and Objectivity, and I(A): Knowledge of the Law.

B) Standard I(C): Misrepresentation only.

C) Standard I(C): Misrepresentation and I(A): Knowledge of the Law.

Question #18 of 46

Question ID: 1675844

Kenny Barrett, CFA, is working in the Australian office of American Investments Co. From an informal conversation, Barrett learns that the company's most recent investment report was based on misappropriated information. No one at the Australian office expresses concern, however, because there has been no breach of Australian law. Barrett should:

A) seek advice from company counsel to determine the appropriate action.

B) do nothing because the branch is outside of U.S. jurisdiction.

C) disassociate himself from the case with a written report to his supervisor.

Question #19 of 46

Question ID: 1675843

While working on her report, Jean Paul, CFA, learns from her friend in the investment banking department that the company she is analyzing can expect a tender offer very soon. Concerning this conclusion, Paul can:

A) not trade on it because it is material nonpublic information.

B) trade on it because it is public information.

C) trade on it because she figured it out by herself.

Benson & Company (BC) is a brokerage and investment advisory firm that specializes in venture capital. BC researches start-up companies for its clients and helps qualified start-ups raise money. BC often acts as a conduit for investors and firms needing start-up capital. Over the past 10 years, of the venture capital opportunities for which BC has raised money, the proportion of successes is significantly higher than the average for BC's peers. This fact appears in writing in most of BC's promotional material. When approaching investors with venture capital deals, BC representatives have been instructed to say "we offer opportunities with a higher expected return than stocks without the extra risk."

Ron Thornton, CFA, has just been promoted to the role of supervisor of research, with a specific charge to reorganize his division. Thornton begins with a review of the files. He decides to throw out all files pertaining to companies that had applied to BC for financing, but had been refused by BC. He also decides to throw out files on those firms that have been researched, but were not being recommended by BC.

Thornton asks Sue Fosler, a Level III CFA candidate, to look at Spanish Garden, a new concept family restaurant chain that is seeking venture capital from BC. He gives her a coupon for a complimentary meal that had been sent to BC by the owners of Spanish Garden. Fosler goes to a local branch of the restaurant for the meal. While she is there, she sees Fred Benson enjoying a meal at the restaurant, who is one of the BC partners. Later, she asks him about the restaurant, and he says "I like the food." He added jokingly that "the American public will benefit from the growth of Spanish Garden." Fosler also learns that Benson is on the board of directors of Spanish Garden and owns 2% of the company. Fosler continues gathering data and, based on the data and her opinion regarding her dining experience at the restaurant, she concludes that a buy recommendation is appropriate. After writing up her report, she gives it to Thornton, who will be responsible for disseminating the report. The next day, Fosler discovers that the Center for Disease Control (CDC) has ordered Spanish Garden to change some of its food-handling procedures. She calls the CDC, and a CDC spokesman informs her that the restaurant could be closed down unless it complies with these requests immediately. Fosler calls the headquarters of Spanish Garden and is told "no comment" by a restaurant representative. Fosler relays this information to Thornton before he disseminates Fosler's recommendation. He disseminates the recommendation without any changes. Upon learning this, Fosler made arrangements to speak with BC's legal counsel.

Question #20 - 25 of 46

Question ID: 1675852

Regarding the written statement concerning the success of BC's prior venture capital investment offerings as well as the verbal slogan concerning risk and return that BC's representatives have been instructed to say to investors, which of the following is a violation of the Code and Standards?

A) The written statement only.

B) The verbal statement only.

C) Both statements are a violation.

Question #21 - 25 of 46

Question ID: 1675853

In preparing her report on Spanish Garden, Fosler violated the Code and Standards:

A) by eating at the restaurant before writing her report, but not by accepting the coupon.

B) by accepting the meal coupon, but not by eating at the restaurant before writing her report.

C) in no way; no violation has occurred.

Question #22 - 25 of 46

Question ID: 1675854

Of the two categories of files that Thornton has decided to throw away, for which will the discarding of files be a violation of the Code and Standards?

A) The files on applicants for venture capital that were refused.

B) Both categories of files.

C) Neither category of files.

Question #23 - 25 of 46

Question ID: 1675855

Fred Benson's comments concerning Spanish Garden would be considered:

A) material, public information, and Fosler would not be in violation of the Code and Standards by not including it in her report on Spanish Garden.

B) nonmaterial, nonpublic information, and Fosler would not be in violation of the Code and Standards by not including it in her report on Spanish Garden.

C) nonmaterial, nonpublic information, and Fosler would be in violation of the Code and Standards by not including it in her report on Spanish Garden.

Question #24 - 25 of 46

Question ID: 1675856

When issuing the report on Spanish Garden, Fosler must disclose:

A) Benson's directorship, but not the ownership.

B) neither Benson's ownership interest nor the directorship.

C) Benson's ownership and the directorship.

Question #25 - 25 of 46

Question ID: 1675857

With respect to Fosler's report on Spanish Garden, the CDC order, and the subsequent actions taken by Fosler and Thornton:

A) both Fosler and Thornton are in violation of the Code and Standards.

B) neither Fosler nor Thornton is in violation of the Code and Standards.

C) Thornton is in violation of the Code and Standards, but Fosler is not.

Question #26 of 46

Question ID: 1675849

While copying some of her research materials at work, Mary Jones comes across a few incomplete research notes written by one of her colleagues. As a result of reading the notes, and without further review, Jones immediately changes one of her stock recommendations from sell to buy. Which of the following CFA Institute Standards has Jones violated?

A) Standard V(A): Diligence and Reasonable Basis.

B) Standard III(A): Loyalty, Prudence, and Care.

C) Standard I(B): Independence and Objectivity.

Question #27 of 46

Question ID: 1675865

Marc Feldman, CFA, is manager of corporate investor relations for a high-tech start-up, Zippy.com, in Boise, Idaho. Feldman learns that Larry Smith, controller, is altering the accounting records. Feldman advises some of his personal friends to sell short Zippy.com. This action constitutes:

A) the use of material nonpublic information and is a violation of the Code and Standards.

B) professional misconduct but not the use of nonpublic information and is a violation of the Code and Standards.

C) a violation of the Standard concerning prohibition against misrepresentation.

Question #28 of 46

Question ID: 1675859

Marc Feldman, a CFA Institute member, is treasurer of Zippy.com, and is Larry Goldman's boss. Feldman is informed of "accounting irregularities of an unknown origin" during an audit by Zippy's external accounting firm. There are three individuals, including Goldman, handling the accounting function. According to the Code and Standards, Feldman should do all of the following except:

A) leave the staff in their current jobs and increase supervision while the external auditors complete their work.

B) terminate the accounting staff immediately and issue a press release describing the situation.

C) conduct a thorough investigation of activities.

Question #29 of 46

Question ID: 1675861

Noah Johnson, CFA, is a broker with a money management company, Factor, Inc. In a conversation with Tom Williams, Johnson describes the activities of Factor and discusses the characteristics of portfolio construction. Which of the following statements would not, on its face, be considered a misrepresentation?

A) Factor guarantees the portfolio will achieve its goal return.

B) If Williams is not satisfied with the current target return, Johnson can always improve it by increasing his T-bills share.

C) The portfolio securities were carefully selected by Factor to minimize Williams's risk.

Question #30 of 46

Question ID: 1675839

Adam Core, CFA, is a supervisor at a brokerage firm. Recently, he discovered a complicated mechanism that brokers are using to obtain referrals of new clients in exchange for reduced commissions and other benefits to existing clients. The new clients are not aware of this practice. Core consults with compliance counsel and initiates an investigation. Which of the following actions violates CFA Institute Standards?

A) Core ensures that everybody in the company has a copy of the CFA Institute Code and Standards and a copy of the internal compliance system. He starts organizing special seminars on compliance with CFA Institute requirements.

B) Core starts collecting information and records on the case, as well as interviewing all involved employees. He decides against immediate limitations on their work, to ensure the work of the company will continue undisturbed.

C) Core's first goal is to identify all violators.

Question #31 of 46

Question ID: 1675864

Mary Hiller, CFA, is a senior analyst at a mutual fund. She is also a member of the board of the directors of her daughter's skating club. She is often asked for advice about the management of the club budget and about possible short-term investments, but she is not paid for this advice. She does not undertake any research to answer these questions, providing information based only on the general practices of the mutual fund at that moment. The only benefit she receives is a free monthly membership for her daughter that would usually cost $182. What should she do before making any recommendations, to comply with the CFA Institute requirements?

A) Obtain prior permission from her employer.

B) Consult only on her free time and do not accept any benefit greater than $100.

C) Inform her current clients about her outside consulting.

Question #32 of 46

Question ID: 1675846

Which of the following is not considered plagiarism under CFA Institute Standards?

A) Using factual information from a recognized financial information agency without acknowledging the source of the information.

B) Improving an existing report and using it inside the company under a new title without acknowledging the source of the original report.

C) Adjusting an already-published model and announcing it as a new model without acknowledging the source of the original model.

Question #33 of 46

Question ID: 1675823

Perley & Sons is an investment advisor company that just signed a contract with full discretionary power for the management of assets for Bright Future, a charitable fund. Without consultation, portfolio manager Martin Brown, CFA, decides to trade the funds' assets through a brokerage firm that provides, as an additional benefit, research reports for companies in the microchip industry. These companies represent the main investment interest for most of the Perley & Sons clients. The Bright Future portfolio does not hold any equities in the microchip industry, and, because of its risk profile, is unlikely to ever do so. Which of the following activities represents a possible breach with the CFA Institute Standards?

A) Accepting research reports from the brokerage firm that do not benefit client portfolios.

B) Lack of action in consulting with the client before choosing the brokerage firm.

C) Exercising a selection principle that does not comply with the idea of best trade price and execution.

Question #34 of 46

Question ID: 1675845

Calvin Moore, CFA, has been transferred from the brokerage house of the Browning Company to the portfolio management department. In portfolio management, Moore learns that clients are grouped into three divisions according to portfolio value, divided as follows:

- Group 1: up to $10,000
- Group 2: $10,001–$100,000
- Group 3: more than $100,000

When recommendations are announced or trades are initiated, a particular sequence is followed in communicating to these groups. At the next monthly meeting, Moore suggests that the sequencing practice is a breach of CFA Institute Standards. One of Moore's coworkers replies that the grouping approach helps the company in applying the Standard regarding portfolio recommendations. He further suggests that because Browning's overall performance is more strongly affected by actions taken on the high-value portfolios, that these portfolios should take priority over the small-value portfolios. Moore should:

A) disassociate himself from the problem and seek legal advice.

B) prepare a written report to the CEO describing the problem.

C) do nothing because there is no breach with the Standards.

Question #35 of 46

Question ID: 1675825

Klaus Gerber, CFA, is a regular contributor to the internet site WizeGuy. This past week, Gerber has been incorrectly quoted as recommending that investors buy shares in Gresham, Inc. He is unaware that this message has been placed on the site as the quote was placed as a prank by an unknown source. This is the third time this has happened over the past month.

Fritz Fox, CFA, maintains and updates the WizeGuy site and has learned how to determine if the quotes being attributed to Gerber are actually valid. Several days later, he observes an investment recommendation, posted on the site, to buy Gresham, Inc. The investment recommendation is purported to be from Gerber, but Fox actually knows it to be fake. He immediately sells 1,000 Gresham short and emails Gerber to inform him of the fake recommendation. Gerber immediately issues a rebuttal, and Gresham falls by 14%.

Gerhard Rau, CFA, is Fox's supervisor at WizeGuy and has reviewed Fox's trade in Gresham. Gerhard should:

A) confront Fox, warn him to cease, and require him to sign a statement that such activities will not happen again.

B) begin monitoring Fox's activities surreptitiously over the upcoming months to see if the activity recurs.

C) initiate an investigation and place limits, as deemed necessary, on Fox's behavior.

Question #36 of 46

Question ID: 1675863

To comply with the CFA Institute Standards, an analyst should use:

A) only his own research in making investment recommendations, because anything else would violate Standard I(B): Independence and Objectivity.

B) only his company's research when making investment recommendations and use outside research for reports and analysis on stocks.

C) outside research only after verifying its accuracy.

Question #37 of 46

Question ID: 1675836

Kimberly Olson has recently become a CFA charterholder, and she has just started a new job at Securities Online as a junior analyst. After preparing her first research report, Olson decides to consult with one of the senior analysts who make minor corrections to improve the content of the report. Olson makes changes to the report according to the senior analyst. Upon presentation of the report, Olson finds that statements made by the senior analyst contained incorrect information. Which of the following statements is correct?

A) Olson did not need to check the additional comments.

B) If Olson attributes those comments to the senior analyst, she cannot be held responsible for incorrect information.

C) Olson should have checked the accuracy of the comments.

Question #38 of 46

Question ID: 1675862

Klaus Gerber, CFA, is a regular contributor to the internet site WizeGuy. This past week, Gerber has been incorrectly quoted as recommending that investors buy shares in Bradford, Inc. He is unaware that this message has been placed on the site as the quote was placed as a prank by an unknown source. This is the third time this has happened over the past month, and each time, the stock being mentioned moved in price according to the buy or sell recommendation.

Fritz Fox, CFA, maintains and updates the WizeGuy site and has learned how to determine if the quotes being attributed to Gerber are actually valid. Several days later, he observes an investment recommendation, posted on the site, to buy Gresham, Inc. The investment recommendation is purported to be from Gerber, but Fox actually knows it to be fake. He immediately sells 1,000 Gresham short and emails Gerber to inform him of the fake recommendation. Gerber immediately issues a rebuttal, and Gresham falls by 14%. Fox's action is:

A) not in violation of the Code and Standards.

B) a violation of the Standard concerning fiduciary duties.

C) a violation of the Standard concerning the use of material nonpublic information.

Question #39 of 46

Question ID: 1675824

All of the following would be effective components of a formal compliance system except:

A) members with supervisory responsibility can rely on the compliance manual and the compliance department to prevent and detect violations.

B) managers and brokers should pay careful attention to risk tolerance in determining an appropriate investment policy statement for each client.

C) employees who receive material nonpublic information should communicate that information to the company's compliance officer without discussing the information with coworkers.

Question #40 of 46

Question ID: 1675835

All of the following would be effective components of a formal compliance system except:

A) the allocation of trades should first be to certain large client accounts with similar investment objectives and constraints, and then to other suitable client accounts.

B) seminars and conferences may be paid for using soft dollars only if the activity qualifies as research.

C) the firm should disclose any soft dollar arrangements to clients.

Bonnie Tully, CFA, is a supervisor with Bonn Financial Advisors (Bonn). Tully has been assigned by Bonn's governing board to design procedures to minimize potential conflicts of interest that can arise during the course of the firm's business. Specific areas of interest include when the firm's representatives trade in the same securities as their clients, fair treatment of clients when disseminating recommendations, and ensuring that recommendations to clients are appropriate. All of Bonn's representatives have a working knowledge of the Code and Standards, so the goal is for Tully to lay out the details for compliance.

Tully has generated a list of eight specific goals she feels are the most important:

1. Creating guidelines for representatives when they trade for their own account
2. Defining material, nonpublic information
3. Drafting a common investment policy statement that representatives must sign and apply to all clients
4. Creating guidelines for the use of nonpublic information concerning a tender offer
5. Developing an effective means for disclosure to clients' information regarding relationships between Bonn and its representatives and corporations whose securities are being recommended by Bonn
6. Drafting a written policy on soft dollars
7. Creating guidelines on how to treat gifts and benefits from external sources to representatives
8. Creating a restricted list of publicly traded companies

The governing board of Bonn has asked Tully to examine and comment on two current situations. The first situation concerns Midland Investment Banking (MIB), a subsidiary of Bonn. MIB has issued a prospectus for its open-end Midland Gold Fund. In the prospectus, the investment policy was disclosed as, "We will maintain an investment posture of 50% or more in gold stocks and/or bullion, depending upon market conditions." This policy was adhered to until the price of gold fell by 20%, leaving the fund 40% invested in gold stocks and bullion. MIB management has decided that because the allocation was affected by market conditions, no action—either to change the investment policy or to rebalance the portfolio—is required on their part.

The second situation concerns Toby Waller, CFA, who is an employee of Bonn. Bonn is a major shareholder in Stepp Company (Stepp). Stepp appears likely to be the target of a tender offer from Joshua Manufacturing (Joshua). Stepp shareholders have been asked to vote on whether to implement a "poison pill" that would effectively prevent any merger or buyout. Before the vote, Waller receives a phone call from Joshua Manufacturing's director of corporate communications, Danielle Jones. Jones offers to pay Waller's airfare and hotel expenses so that he can attend a dinner meeting at Joshua's headquarters in Philadelphia. At this meeting, the firm's CEO and general counsel plan to explain their position on the offer and answer questions. In the meantime, Stepp's management has announced that it will hold a half-day seminar for analysts and major shareholders, where its attorneys and industry experts will discuss management's reasons for promoting the "poison pill." Lunch will be provided to all attendees, and Waller's office is close to Stepp's headquarters, so he can easily attend the meeting.

Question #41 - 46 of 46

Question ID: 1675827

Which of the following goals from Tully's list of eight goals will probably require the *least* amount of effort to complete?

A) Goal 3.

B) Goal 1.

C) Goal 4.

Question #42 - 46 of 46

Question ID: 1675828

Which goal on the list, if completed by Tully, would *most likely* be a violation of the Code and Standards?

A) Goal 3.

B) Goal 5.

C) Goal 4.

Question #43 - 46 of 46

Question ID: 1675829

For Goal 2, in defining material nonpublic information, the term *material* refers to information that is likely to significantly affect the market price of the issuing company's securities or that is:

A) likely to preclude the financial analyst or analyst's firm from rendering unbiased or objective advice.

B) acquired by the financial analyst from a special or confidential relationship with the issuing company.

C) likely to be considered important by reasonable investors in determining whether to trade a particular security.

Question #44 - 46 of 46

Question ID: 1675830

Regarding Goal 6, if some of the available brokers are offering soft dollars that are only of general benefit to Bonn, Tully should recommend that Bonn should choose the broker with which of the following characteristics?

A) Good price and execution, and low soft dollars.

B) Good price and execution, and good soft dollars.

C) Best price and execution, but no soft dollars.

Question #45 - 46 of 46

Question ID: 1675831

MIB management has:

A) not violated the Code and Standards by allowing the value of the Gold Fund to decline, nor by not rebalancing it.

B) violated the Code and Standards by allowing the value of the Gold Fund to decline, but not by not rebalancing it.

C) not violated the Code and Standards by allowing the value of the Gold Fund to decline, but did violate the Code and Standards by not by rebalancing it.

Question #46 - 46 of 46

Question ID: 1675832

With respect to the invitations Waller has received from the management of Stepp and Joshua, to comply with the Code and Standards, Waller:

A) may attend the Joshua meeting and may not attend the Stepp meeting under any circumstances.

B) may attend the Stepp meeting and may not attend the Joshua meeting under any circumstances.

C) must not attend the Joshua Manufacturing meeting unless Waller pays his own expenses.